

Unit 6

Digital Marketing

- Introduction to Digital Marketing
- Online Advertisement, Ad Targeting, Search Engine Marketing, Keyword Advertising, Search Engine Optimization, Display Ad Marketing, Interstitial Ad, Video Ad, Advertising Exchanges, Programmatic Advertising, Real-Time Bidding, E-mail Marketing, Affiliate Marketing,
- Social Marketing, Mobile Marketing, Local Marketing,
- Online Marketing Metrics, Pricing Models for Online Advertisements
- Case Studies: Facebook Marketing Tools, Twitter Marketing Tools, Pinterest Marketing Tools, Location Based Marketing Tools: Google AdSense

Link to Slides:

<https://drive.google.com/drive/folders/1HfVEv3IX-JCCeYJM4vXDN2Ac77PJTyfb?usp=sharing>

Introduction

- marketing and marketing communications has been greatly affected by Internet and mobile platform technologies.
- Importance of Internet in marketing:
 - offers marketers new ways of contacting millions of potential customers at costs far lower than traditional media.
 - provides new ways to gather information from customers, adjust product offerings, and increase customer value.
 - provides entirely new ways to identify and communicate with customers, including search engine marketing, social marketing, behavioral targeting, and targeted e-mail, among others.
 - Today, utilizing the Internet, the mobile platform based on smartphones and tablet computers is transforming online marketing and communications.

Internet audience and Online Consumer Behaviour

- Before firms can begin to sell their products online, they must first understand what kinds of people they will find online and how those people behave in the online marketplace.
- The first principle of marketing and sales is “know thy customer.” Who is online, who shops online and why, and what do they buy?
- **Current scenario :**
 - **Internet traffic :** Now, the number of online users has grown tremendously. Worldwide more than 3 billion people are online.
 - **Intensity and Scope of Internet Usage:** People now regularly use the Internet more than 5 hours a day. Teens are the most regular users of Internet than others. Recently, mobile smartphones and tablets are major access points to the Internet and online commerce. Owners of mobile devices spend over 3 hours a day using them for nontelephone activities such as playing games, viewing videos, and visiting social networks.

- **Demographics and Access:** The demographic profile of the Internet and ecommerce has changed greatly since 1995. In recent years, there has been a marked increase in Internet usage by females, minorities, seniors, and families with modest incomes. Inequality of access and usage of Internet (**the digital divide**) has notably decreased.
- **Type of Internet Connection: Broadband and Mobile Impacts:** Now a large population have broadband connection. The explosive growth of smartphones and tablet computers connected to broadband cellular and Wi-Fi networks is the foundation for a truly mobile e-commerce and marketing platform, which did not exist a few years ago.
- **Community Effects: Social Contagion in Social Networks :** For a physical store, location is important but location is almost of no importance in case of online business. The “*neighborhood effects*” is also applicable in online business). social networks have a powerful influence on shopping and purchasing behavior.

Digital (online) Marketing

- The objective of online marketing—as in all marketing—is to build customer relationships so that the firm can achieve above-average returns.

Online marketing vs traditional marketing

- Compared to traditional print and television marketing, online marketing can be more
 - ✓ personalized
 - ✓ Participatory
 - ✓ peer-to-peer
 - ✓ Communal
- Not all types of online marketing have these four features.
- For instance, consider a marketing video splashed on browser without our consent Vs watching a television commercial.
- However, the some marketing video can be targeted to our personal interests, community memberships, and allow us to share it with others.

Elements of marketing

- In the past, the first step in building an online brand was to build a website, and then try to attract an audience.
- The most common “traditional” marketing techniques for establishing a brand and attracting customers were search engine marketing, display ads, e-mail campaigns, and affiliate programs.
- But today, in addition to traditional marketing, marketers consider other media channels for attracting an audience such as social media and mobile devices.
- The five main elements of a comprehensive multi-channel marketing are:
 - Website
 - traditional online marketing
 - social marketing
 - mobile marketing
 - offline marketing

TYPE OF MARKETING	PLATFORMS	EXAMPLES
Website Traditional Online Marketing	Traditional website	Ford.com
	Search engine marketing	Google; Bing; Yahoo
	Display advertising	Yahoo; Google; MSN
Social Marketing	E-mail	Major retailers
	Affiliates	Amazon
	Social networks	Facebook
	Micro blogging sites	Twitter
	Blogs/forums	Tumblr
	Visual marketing	Pinterest/Instagram
	Video marketing	YouTube
Mobile Marketing	Game marketing	Chipotle Scarecrow Game
	Mobile site	m.ford.com
	Apps	Ford Mustang Customizer app My Ford
Offline Marketing	Television	Apple/The Human Family: Shot on iPhone
	Newspapers	American Airlines/The

➤ Website

- A firm's website is a major tool for establishing the initial relationship with the customer.
- The website performs four important functions:
 - ✓ establishing the brand identity and consumer expectations
 - ✓ informing and educating the consumer
 - ✓ shaping the customer experience,
 - ✓ anchoring the brand
- The website is the one place the consumer can turn to find the complete story. Other media such as apps, e-mail, or search engine ads lack that feature.

See detail in text book page 351

➤ Traditional online marketing and advertising tools

- The audience has moved to Internet
- Now it is possible to target ads to individuals and small groups and to track performance of advertisements in almost real time.

- **Ad Targeting:**

- the sending of market messages to specific subgroups in the population in an effort to increase the likelihood of a purchase
- It is as old as advertising itself, but prior to the Internet, it could only be done with much less precision, certainly not down to the level of individuals.
- Ad targeting is also the foundation of price discrimination: the ability to charge different types of consumers different prices for the same product or service.
- With online advertising, it's theoretically possible to charge every customer a different price.

- Online advertisements also provide greater opportunities for interactivity—two-way communication between advertisers and potential customers.

- The primary disadvantages of online advertising are:
 - concerns about its cost versus its benefits
 - how to adequately measure its results
 - the supply of good venues to display ads.

basic marketing and advertising tools for attracting e-commerce consumers:

1. search engine marketing
2. display ad marketing -- banner ads, rich media ads, video ads, and sponsorships
3. e-mail and permission marketing
4. affiliate marketing
5. viral marketing

1. Search engine marketing and advertising

- Nowadays, People frequently use search engines making it a good choice for marketing and advertising by companies.
- Search engine marketing (SEM) refers to the use of search engines to build and sustain brands.
- Search engine advertising refers to the use of search engines to support direct sales to online consumers.

Note: **marketing** is the process of identifying customer needs and determining how best to meet those needs. In contrast, **advertising** is the exercise of promoting a company and its products or services through paid channels. In other words, **advertising** is a component of **marketing**.

- Use of search engines
 - ✓ To make sales in response to advertisements
 - ✓ to strengthen brand awareness
 - ✓ drive traffic to other websites or blogs to support customer engagement
 - ✓ to gain deeper insight into customers' perceptions of the brand
 - ✓ to support other related advertising (e.g , ending consumers to local dealer sites)
 - ✓ and to support the brand indirectly.
- Search engines can also provide marketers insight into customer search patterns, customer's opinions about products, top trending search keywords, and.
- For example, PepsiCo, home of mega brands like Pepsi and Doritos, makes no sales on the Web, but has several branding websites aimed at consumers, investors, and shareholders. The focus is on building, sustaining, and updating the Pepsi collection of branded consumer goods. A search on Pepsi will generate numerous search results that link to Pepsi marketing materials.

Types of Search Engine Advertising

- Search engine sites originally performed unbiased searches of the Web derived most of their revenue from banner advertisements.
- This form of search engine results is often called organic search because the inclusion and ranking of websites depends on a “unbiased” application of a set of rules (an algorithm) imposed by the search engine.
- Since 1998, search engine sites slowly transformed themselves, where firms pay for inclusion in the search engine index, pay for keywords to show up in search results, or pay for keywords to show up in other vendors’ ads.
 - **Paid inclusion:**
 - ✓ Advertisers pay fee to guarantee their website’s inclusion in its list of search results, more frequent visits by its web crawler, and suggestions for improving the results of organic searching.
 - ✓ these payments may cost some merchants hundreds of thousands a year
 - ✓ if the page inclusion ads get more hits, and the rank of the page appreciates, causing the organic search algorithm to rank it higher in the organic results.

- **keyword advertising,**
 - ✓ merchants purchase keywords through a bidding process at search sites
 - ✓ whenever a consumer searches for that word, their advertisement shows up somewhere on the page, usually as a small text-based advertisement on the right, but also as a listing on the very top of the page.
 - ✓ The more merchants pay, the higher the rank and greater the visibility of their ads on the page.
 - ✓ some search engines rank the ads in terms of their popularity rather than merely the money paid by the advertiser so that the rank of the ad depends on both the amount paid and the number of clicks per unit time.
 - ✓ Google's keyword advertising program is called AdWords
- **Network keyword advertising (context advertising)**
 - ✓ introduced by Google as its AdSense product in 2002
 - ✓ differs from the ordinary keyword advertising. Publishers (websites that want to show ads) join these networks and allow the search engine to place "relevant" ads on their sites.
 - ✓ The ads are paid for by advertisers who want their messages to appear across the Web. Google-like text messages are the most common. The revenue from the resulting clicks is split between the search engine and the site publisher

Search engine optimization :

- the process of improving the ranking of web pages with search engines by altering the content and design of the web pages and site.
- By carefully selecting key words used on the web pages, updating content frequently, and designing the site so it can be easily read by search engine programs, marketers can improve the impact and return on investment in their web marketing programs.
- Google and other search engine firms make frequent changes to their search algorithms in order to improve the search results and user experience.
- Google, for instance, reportedly makes over 600 search engine changes in a year. Most are small unannounced tweaks. Recent major changes have included Panda, Penguin, Hummingbird, Knowledge Graph etc.

Search Engine Issues

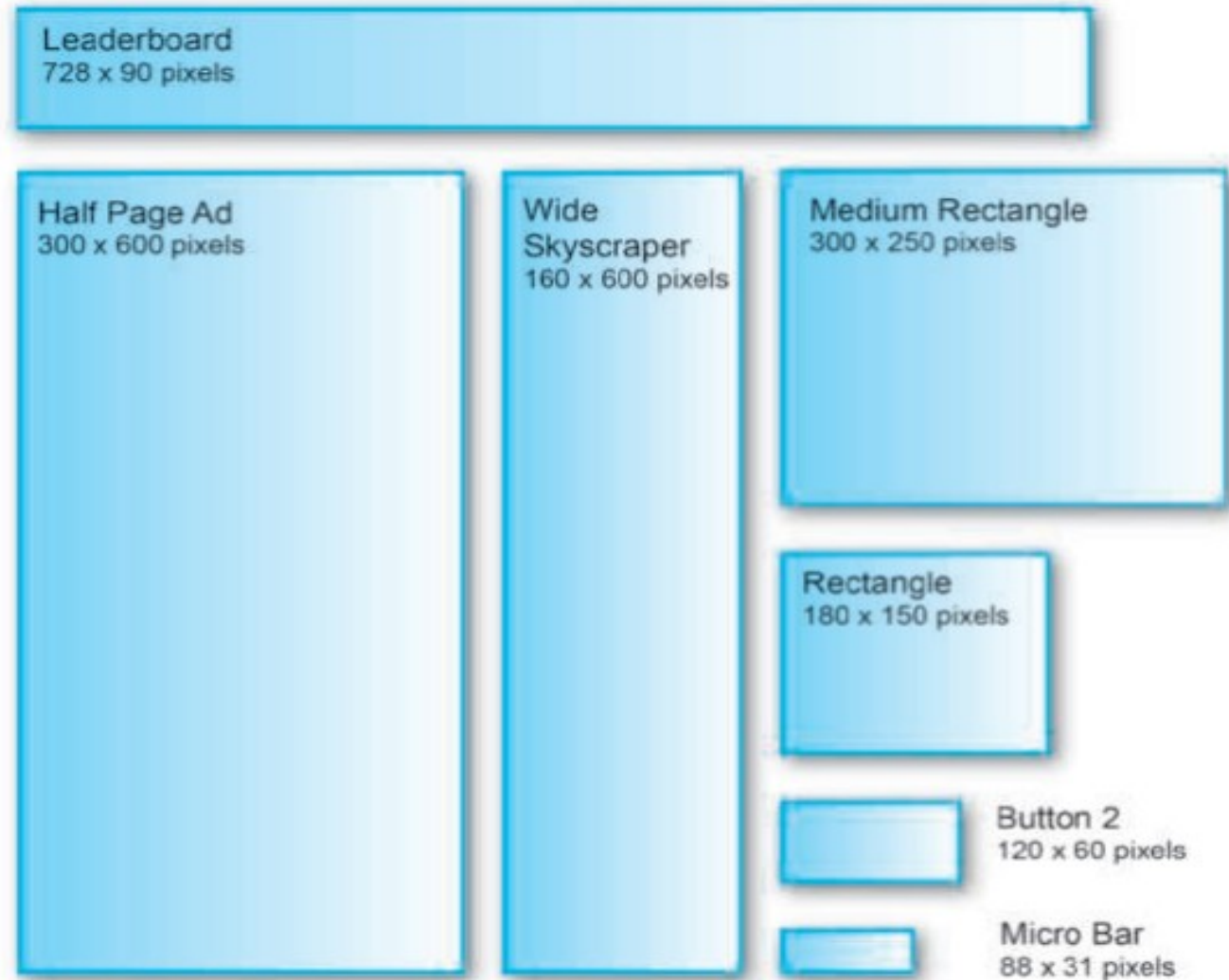
- search engines have provided significant benefits to merchants and customers, but they also present risks and costs.
 - **Link farms:**
 - are groups of websites that link to one another, thereby boosting their ranking in search engines that use a PageRank algorithm to judge the “usefulness” of a site.
 - Companies may fraudulently use link farms to increase their popularity.
 - For instance, in the 2010, JCPenney was found to be involved in a big search engine fraud. was found to be the highest ranked merchant for a large number of clothing products.
 - See book page 357 for details
 - Google’s Panda series of updates to its search algorithms were aimed in part at eliminating link farms
 - **Content farms**
 - are companies that generate large volumes of textual content for multiple websites designed to attract viewers and search engines.
 - Content farms profit by attracting large numbers of readers to their sites and exposing them to ads.
 - The content typically is not original but is artfully copied or summarized from legitimate content sites.

➤ **Click fraud**

- Click fraud occurs when a competitor clicks on search engine results and ads, forcing the advertiser to pay for the click even though the click is not legitimate.
- Competitors can hire offshore firms to perform fraudulent clicks or hire botnets to automate the process.
- Click fraud can quickly run up a large bill for merchants, and not result in any growth in sales.
- Studies have shown that that advertisers lose significant amount of money due to click fraud

2. Display Ad Marketing

- The top five display ad companies are Facebook, Google, Twitter, Yahoo, and Verizon.
- The Interactive Advertising Bureau (IAB), an industry organization, has established voluntary industry standards to ensure a consistent experience across all devices.
- According to Google, the top performing ad formats are
 - ✓ the large rectangle,
 - ✓ the medium rectangle,
 - ✓ the leaderboard,
 - ✓ and the half-page.



- Display ads consist of four different kinds of ads:
 - banner ads
 - rich media ads (animated ads)
 - Sponsorships
 - video ads.
- Banner ads
 - Banner Ads Banner ads are the oldest and most familiar form of display marketing.
 - They are also the least effective and the lowest cost form of online marketing.
 - A banner ad displays a promotional message in a rectangular box on the screen of a desktop computer or mobile device.
 - A banner ad is similar to a traditional ad in a printed publication but has some added advantages.
 - When clicked, it brings potential customers directly to the advertiser's website
 - the site where the ad appears can observe the user's behavior on the site (ability to identify and track the user)
 - Banner ads often feature video and other animations.

➤ Rich Media Ads

- Ads that employ animation, sound, and interactivity, using Flash, HTML5, Java, and JavaScript are referred to as rich media ads.
- They are far more effective than simple banner ads. Studies have shown that viewers of rich media ads that included video is more likely to visit the advertiser's website, by either directly clicking on the ad, typing the advertiser's URL, or searching.
- types of rich media ads
 - those that contain in-banner video
 - those that are expandable/retractable
 - pop-ups,
 - interstitials :- An interstitial ad (interstitial means “in between”) is a way of placing a full-page message between the current and destination pages of a user. Interstitials are usually inserted within a single website, and displayed as the user moves from one page to the next. The interstitial is typically contained in its own browser window and moves automatically to the page the user requested after allowing enough time for the ad to be read.

➤ Video Ads

- Online video ads are TV-like advertisements that appear as in-page video commercials or before, during, or after a variety of content.
- Table 6.5 describes some of the IAB standards for video ads. The most widely used format is the “pre-roll” (followed by the mid-roll and the post-roll) where users are forced to watch a video ad either before, in the

TABLE 6.5 TYPES OF VIDEO ADS		
FORMAT	DESCRIPTION	WHEN USED
Linear video ad	Pre-roll; takeover; ad takes over video for a certain period of time	Before, between, or after video
Nonlinear video ad	Overlay; ad runs at same time as video content and does not take over full screen	During, over, or within video
In-banner video ad	Rich media; ad is triggered within banner, may expand outside banner	Within web page, generally surrounded by content
In-text video ad	Rich media; ad is delivered when user mouses over relevant text	Within web page, identified as a highlighted word within relevant content

➤ Sponsorships

- A sponsorship is a paid effort to tie an advertiser's name to particular information, an event, or a venue in a way that reinforces its brand in a positive yet not overtly commercial manner.
- Sponsorships typically are more about branding than immediate sales.
- A common form of sponsorship is targeted content (or advertorials), in which editorial content is combined with an ad message to make the message more valuable and attractive to its intended audience.
- For instance, WebMD, the leading medical information website in the United States, displays sponsored pages on the WebMD website from companies such as Phillips to describe its home defibrillators, and Lilly to describe its pharmaceutical solutions for attention deficit disorders among children.
- Social media sponsorships, in which marketers pay for mentions in social media, such as blogs, tweets, or in online video, have also become a popular tactic.
- Sponsorships have also moved onto the mobile platform. For instance, Subaru sponsors an app called MapMyDogwalk, a GPS-enabled dog walking tool.

➤ Native Advertising

- Advertising that looks similar to editorial content is known as native advertising.
- Native advertising is not new. Traditional native advertising includes television infomercials, newspaper advertorials, and entire sections of newspapers and magazines that are given over to advertisers, where the advertising looks similar to the rest of the publication.
- In the online world, native ads are most often found on social media, especially mobile social media, as part of a Facebook News Feed, Twitter Timeline, or Pinterest Promoted Pin.
- Mobile social networks do not have room for ads on the right side of the screen (the sidebar or right rail), and therefore native ads in the form of posts that look like other posts are the favored option. Native
- Nowadays, native ads also include video. They appear outside the normal or expected area for ads and are usually distinguished by a “sponsored” tag underneath the headline to indicate they are not editorial content

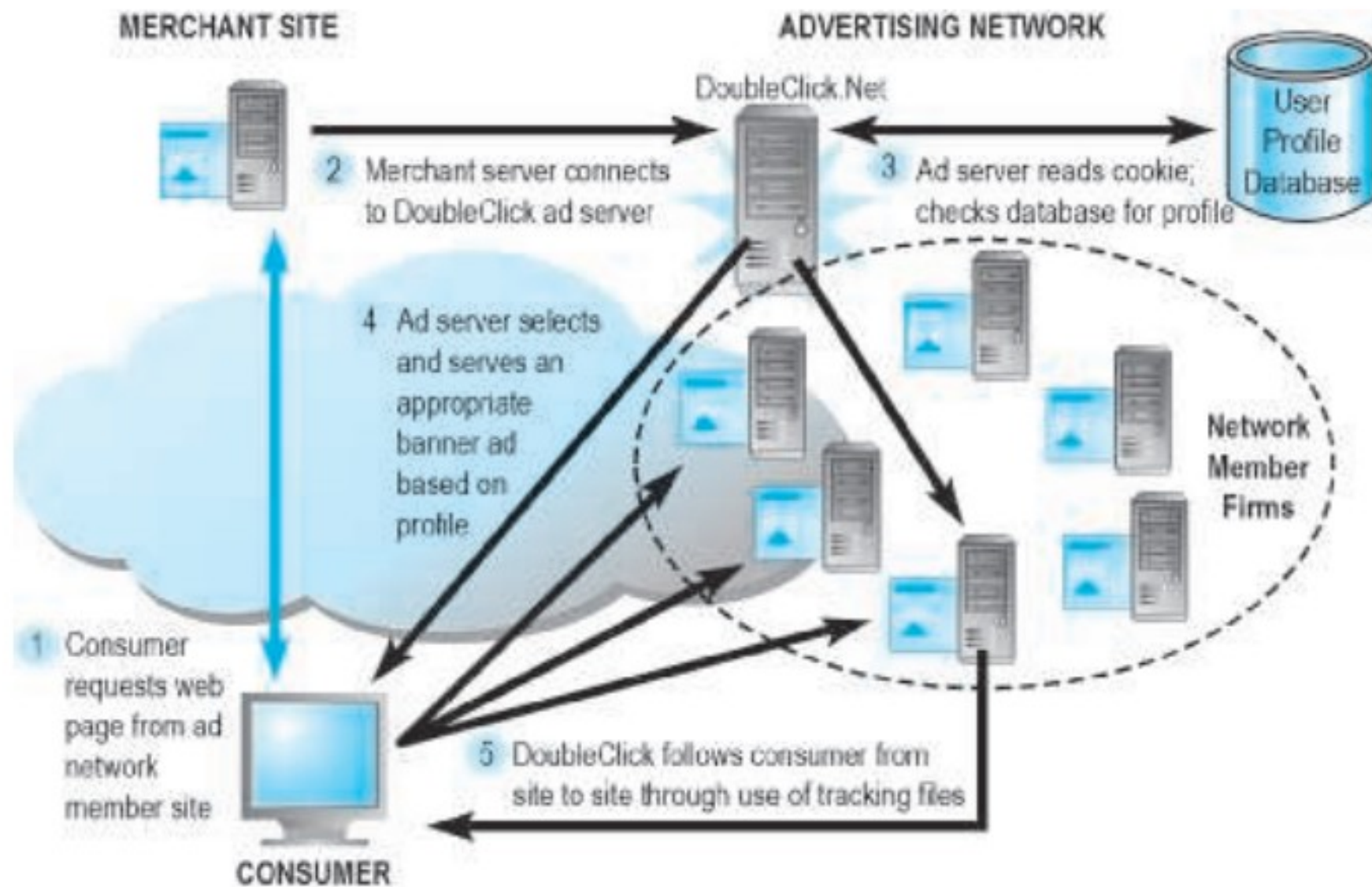
- o Native advertising is controversial. Critics contend that the purpose of native ads is to deceive or fool the consumer into thinking the ad has the same validity as the editorial content in media.
- o Laws have been enforced to ensure the commercial nature of the content to be distinguished from actual editorial content.

➤ Content Marketing

- o Native advertising is usually focused on partnering with a specific publisher.
- o Content marketing creates a content campaign for a brand and then tries to secure placement on a variety of websites.
- o Examples of content include articles, infographics, case studies, interactive graphics, white papers and even traditional press releases. The aim of content marketing is to increase visitors to a company's website, organic search rankings, and brand engagement via social media.

➤ Advertising Networks

- In the early years of e-commerce, firms placed ads on the few popular websites in existence.
- but by early 2000, there were hundreds of thousands of sites, and it became very inefficient for a single firm to purchase ads on each individual website and monitor the results.
- Specialized marketing firms called advertising networks appeared to make the entire process of buying and selling online ads more efficient and transparent.
- Advertising networks sell advertising and marketing opportunities (slots) to companies who wish to buy exposure to an online audience (advertisers).
- Advertising networks obtain their inventory of ad opportunities from a network of participating sites that want to display ads on their sites in return for receiving a payment from advertisers every time a visitor clicks on an ad.
- Ad networks are the intermediaries who make the market work efficiently.

FIGURE 6.7**HOW AN ADVERTISING NETWORK SUCH AS DOUBLECLICK WORKS**

- Advertising Exchanges, Programmatic Advertising, Real-Time Bidding
 - Today, most online display advertising is being delivered by ad exchanges that use programmatic advertising and real-time bidding.
 - An ad exchange is a digital marketplace that uses an automated auction-based method known as programmatic advertising to match supply and demand of online display advertising.
 - Programmatic advertising uses a real-time bidding (RTB) process to match advertiser demand for display ads with publisher supply of web page space.
 - Publishers are able to sell their inventory of empty web pages, often excess inventory that could not be sold directly.
 - Consider an example:
 - Suppose there is an advertiser A who wants to place its advertisement for a vacancy –
“males age 18 to 34, recent visitors to a car site, unmarried, high risk-taking profile, located in New York or California, urban home, and financial service industry employment”
An ad exchange will allow the advertiser A to bid in real time on this audience against other advertisers, and then manage the placement of ads, accounting, and measurement for your firm.

- o Ad exchanges offer tremendous global scale and efficiency.
- o One of the best known is Google's DoubleClick Ad Exchange, which is based on more than 100 ad networks (the supply side), and provides a computer-based market for buyers to purchase audiences (the demand side).
- o This exchange sells audiences sliced into 1,600 interest categories. It displays more than 300 billion ad impressions a month across 2 million websites worldwide, and maintains or distributes more than 500 million user profiles of Internet users. These profiles are based on web tracking files, offline purchase information, and social network data.
- o Marketing firms, the buyers from publishers of websites, can target their audience and control the frequency and timing of ads during the day.

Issues with display advertising

- Ad Fraud.
 - Ad fraud involves the practice of falsifying web or mobile traffic in order to charge advertisers for impressions, clicks, or other actions that never actually occurred.
 - There are four primary sources of ad fraud.
 - ❖ Botnets can be hired by publishers to click on their web pages to create phony traffic.
 - ❖ A browser extension can insert ads into a premium publisher's website, and then list the ads as available on a programmatic ad exchange.
 - ❖ ad targeting firms can create bots that imitate the behavior of real shoppers, and then charge advertisers for successfully targeting consumers.
 - ❖ if we are a publisher looking to attract ads to our site, the simplest technique is simply to hire people in low-wage countries to click on your ads using a proxy server.
 - Large advertisers have begun to hire online fraud detection firms to determine the extent of fraud in their campaigns.
 - Verizon Wireless, L'Oreal, and Kellogg are among the firms that found millions of dollars of ad fraud in recent campaigns

- Viewability.
 - Recent research by Google revealed that 56% of the impressions served across its display advertising platforms, including DoubleClick, are not viewable.
 - There are a number of reasons for this situation.
 - ❖ First, there is no mechanism for measuring how many people actually see an online ad that has been served.. There are no such mechanisms to accurately measure audience exposure for online advertising.
 - ❖ Second, a large percentage of ads served appear lower down on the screen where users are less likely to go, or video ads on auto-play are playing in areas the user cannot see. Advertisers are still charged for ads that are served but not viewed. Unscrupulous publishers can place multiple ads on top of each other and charge multiple times for the same page space.
 - ❖ Third, botnets can be programmed to click on ads on fraudulent websites, generating impressions and ad serves, but no one actually sees the ads.
 - Several companies, including comScore, are offering tagging technology that can partially measure viewability.
 - Unviewed ads are just as profitable as viewed ads for web publishers and advertising agencies. For advertisers, they represent the half of marketing expenditures that is wasted.

- Ad Blocking.
 - use of ad-blocking software that can eliminate display ads, pre-roll video ads, retargeted ads, and some types of native ads on desktops and laptops.
 - Ad blockers operate like a firewall, recognizing and eliminating content based on IP address.
 - Ad blockers have become very easy to install, with programs such as Adblock Plus offered as extensions for Firefox, Chrome, and other web browsers.
 - Currently, almost 25% of Internet users in the United States are estimated to be employing ad blockers, with their most prevalent use among the younger, more technically advanced audience.
 - Gaming, newsgroup/forums, and social network sites are the most frequently affected by ad-blocking.

3. Email marketing

- Direct e-mail marketing (e-mail marketing messages sent directly to interested users) was one of the first and most effective forms of online marketing communications.
- Direct e-mail marketing messages are sent to an opt-in audience of Internet users who have expressed an interest in receiving messages from the advertiser.
- By sending e-mail to an opt-in audience, advertisers are targeting interested consumers.
- Advantages:
 - comparatively high response rates
 - low cost
 - mass reach
 - the ability to track and measure response
 - the ability to personalize content
 - the ability to drive traffic to websites for more interaction,
 - the ability to test and optimize content and offers
 - the ability to target by region, demographic, time of day, or other criteria.

- o Click-through rates for legitimate e-mail depend on the promotion (the offer), the product, and the amount of targeting
- o Despite the deluge of spam mail, e-mail remains a highly cost-effective way of communicating with existing customers, and to find new customers.
- o Mobile devices have become the predominant method for accessing e-mail.

- Drawbacks/challenges in email marketing:
 - Spam
 - Spam filters : software tools used to control spam that eliminate much e-mail from user inboxes

Read details in text book

4. Affiliate Marketing

- firm pays a commission to other websites (including blogs) for sending customers to their website.
- Generally based on pay-for-performance: the affiliate or affiliate network gets paid only if users click on a link or purchase a product.

How it works?

- Visitors to an affiliate website click on ads and are taken to the advertiser's website.
- In return, the advertiser pays the affiliate a fee, either on a per-click basis or as a percentage of whatever the customer spends on the advertiser's site.

Example:

- Amazon has a strong affiliate program consisting of more than 1 million participant sites, called Associates, which receive up to 10% in advertising fees on sales their referrals generate.
- Affiliates attract people to their blogs or websites where they can click on ads for products at Amazon.

5. Viral Marketing

- a form of social marketing that involves getting customers to pass along a company's marketing message to friends, family, and colleagues. (customer referrals)
- It's the online version of word-of-mouth advertising, which spreads even faster and further than in the real world.
- In the offline world:
 - word of mouth is the second most important means (next to television) by which consumers **find out about new products**.
 - the most important factor in the **decision to purchase** is the face-to-face recommendations of parents, friends, and colleagues.
- Millions of online adults are “influencers” who share their opinions about products in an online settings. They are strong factors in viral marketing.

Advantages:

- increases the size of a company's customer base
- they are less expensive to acquire because existing customers do all the acquisition work,
- Because they cost so little to acquire and keep, referred customers begin to generate profits for a company much earlier than customers acquired through other marketing methods.

Where it happens?

- There are a number of online venues where viral marketing appears.
- Old days : E-mail used to be the primary online venue for viral marketing (“please forward this e-mail to your friends”)
- Now: Facebook, Pinterest, Instagram, Twitter, YouTube, and blogs now play a major role.

SOCIAL, MOBILE, AND LOCAL MARKETING AND ADVERTISING

➤ Social Marketing and Advertising

- Social marketing/advertising involves the use of online social networks and communities to build brands and drive sales revenues.
- There are several kinds of social networks: Facebook, Twitter, Pinterest, and Instagram, to social apps, social games, blogs, and forums (websites that attract people who share a community of interests or skills).
- *Social networks:*
 - ❖ Marketers want to take benefit from the huge audiences that social networks are gathering. e.g. there are more than a billion members of facebook alone.
 - ❖ Social networks offer advertisers all the main advertising formats: banner ads (the most common), short pre-roll and post-roll ads associated with videos, and sponsorship of content.
 - ❖ Facebook also allows to create users their own pages which is in itself a marketing tool for brands just like a web page.
 - ❖ Many firms, such as Coca-Cola, have shut down product-specific web pages and instead use Facebook pages.

- *Blogs and online games*
 - ❖ Blogs and online games can also be used for social marketing.
 - ❖ Blogs have been around for a decade and are a part of the mainstream online culture.
 - ❖ Now millions of people read/write blogs.
 - ❖ Blogs play a vital role in online marketing.

Use of blogs:

- ❖ Although more firms use Twitter and Facebook, these sites have not replaced blogs, and in fact often point to blogs for long-form content.
- ❖ blog readers and creators tend to be more educated, have higher incomes, and be opinion leaders --
 - An ideal platforms for ads for many products and services that cater to this kind of audience.
- ❖ Because blogs are based on the personal opinions of the writers –
 - ❖ an ideal platform to start a viral marketing campaign.

- ❖ The online gaming marketplace continues to expand rapidly as users increasingly play games on smartphones and tablets, as well as PCs and consoles.
- ❖ Recent trend of game advertising in social, mobile, and local is tremendously increasing.
- ❖ The objective of game advertising is both branding and driving customers to purchase moments at restaurants and retail stores.

Disadvantages of social marketing

- Sometimes social media campaigns backfire.
- One problem is that brands have little control over what people say about their brands
- Brands have little control over where their ads appear in terms of other content on social sites.
- E.g. Ads placed on Facebook according to an algorithm can be placed near content that does not represent the values of the brand.
- disgruntled consumers, or just malicious people, can post material that is inaccurate and/or embarrassing

➤ Mobile Marketing and Advertising

- Marketing on the mobile platform has exploded and now constitutes more than half of online marketing
- A number of factors are driving advertisers to the mobile platform, including
 - ❖ Availability of powerful devices
 - ❖ faster networks
 - ❖ wireless local networks
 - ❖ rich media and video ads
 - ❖ and growing demand for local advertising by small business and consumers.

- Mobile marketing includes the use of display banner ads, rich media, video, games, e-mail, text messaging, in-store messaging.
 - ❖ display ads:
 - ✓ the most popular mobile advertising format. Display ads can be served as a part of a mobile website or inside apps and games.
 - ✓ Facebook is the leader in mobile display ad revenues, followed by Google and Twitter.
 - ❖ Search advertising:
 - ✓ also a popular format.
 - ✓ Search ads can be optimized for the mobile platform by showing ads based on the physical location of the user.
 - ❖ Mobile messaging:
 - ✓ involves SMS text messaging to consumers offering coupons or marketing messages.
 - ✓ Messaging is especially effective for local advertising because consumers can be sent messages and coupons as they pass by or visit locations.
 - ❖ Video advertising:
 - ✓ currently accounts for a small percentage of mobile ad spending.

- Advertising networks such as Google's AdMob, Apple's iAd, Twitter's MoPub, and Millennial Media are important players in the mobile advertising market.
- Mobile Apps now constitute a new marketing platform that did not exist a few years ago.
- Apps are a nonbrowser pathway for users to experience the Web and perform a number of tasks from reading the newspaper to shopping, searching, and buying.
- Apps provide users much faster access to content than do multi-purpose browsers.

➤ Local Marketing: The Social-Mobile-Local Nexus

- Along with social marketing and mobile marketing, local marketing is the third major trend in e-commerce marketing.
- The growth of mobile devices has accelerated the growth of local search and purchasing.
- New marketing tools like local advertisements on social networks and daily deal sites are also contributing to local marketing growth.
- The most common local marketing tools are geotargeting using Google Maps (local stores appearing on a Google map), display ads in hyperlocal publications like those created by Patch Properties, daily deals, and coupons.
- The most commonly used venues for local marketing include Facebook, Google, Linked In, Yahoo, Bing, and Twitter, as well as more specific location-based offerings such as Google My Business, Yahoo Local, Citysearch, YP, SuperPages, and Yelp.
- The “daily deal” coupon sites, Groupon and LivingSocial, and location-based mobile firms such as Foursquare are also a significant part of this trend

ONLINE MARKETING METRICS

- How to adequately measure the costs and benefits of online advertising ?
- Online marketing terminology
 - Following terms are used to describe the impacts and results of “traditional” online marketing
 - *Impressions*
 - *Click-through rate (CTR)*
 - *View-through rate (VTR)*
 - *Hits*
 - *Page views*
 - *Viewability rate*
 - *Unique visitors*
 - *Loyalty*

TABLE 6.7

MARKETING METRICS LEXICON

DISPLAY AD METRICS	DESCRIPTION
Impressions	Number of times an ad is served
Click-through rate (CTR)	Percentage of times an ad is clicked
View-through rate (VTR)	Percentage of times an ad is not clicked immediately but the website is visited within 30 days
Hits	Number of HTTP requests
Page views	Number of pages viewed
Viewability rate	Percentage of ads that are actually seen online
Unique visitors	Number of unique visitors in a period
Loyalty	Measured variously as the number of page views, frequency of single-user visits to the website, or percentage of customers who return to the site in a year to make additional purchases
Reach	Percentage of website visitors who are potential buyers; or the percentage of total market buyers who buy at a site
Recency	Time elapsed since the last action taken by a buyer, such as a website visit or purchase
Stickiness (duration)	Average length of stay at a website
Acquisition rate	Percentage of visitors who indicate an interest in the website's products by registering or visiting product pages
Conversion rate	Percentage of visitors who become customers
Browse-to-buy ratio	Ratio of items purchased to product views
View-to-cart ratio	Ratio of "Add to cart" clicks to product views
Cart conversion rate	Ratio of actual orders to "Add to cart" clicks
Checkout conversion rate	Ratio of actual orders to checkouts started
Abandonment rate	Percentage of shoppers who begin a shopping cart purchase but then leave the website without completing a purchase (similar to above)
Retention rate	Percentage of existing customers who continue to buy on a regular basis (similar to loyalty)
Attrition rate	Percentage of customers who do not return during the next year after an initial purchase

- o *Reach*
- o *Recency*
- o *Stickiness*
- o *Acquisition rate*
- o *Conversion rate*
- o *Browse-to-buy ratio*
- o *View-to-cart ratio Ratio*
- o *Cart conversion rate*
- o *Checkout conversion rate*
- o *Abandonment rate*

VIDEO ADVERTISING METRICS

View time	How long does the ad actually stay in view while it plays
Completion rate	How many viewers watched the complete video
Skip rate	How many viewers skipped the video

E-MAIL METRICS

Open rate	Percentage of e-mail recipients who open the e-mail and are exposed to the message
Delivery rate	Percentage of e-mail recipients who received the e-mail
Click-through rate (e-mail)	Percentage of recipients who clicked through to offers
Bounce-back rate	Percentage of e-mails that could not be delivered
Unsubscribe rate	Percentage of recipients who click unsubscribe
Conversion rate (e-mail)	Percentage of recipients who actually buy

- **The Costs Of Online Advertising**
- Effectiveness cannot be considered without an analysis of costs.
- Pricing models:
 - *barter*
 - *cost per thousand (CPM) impressions*
 - *cost per click (CPC),*
 - *cost per action (CPA)*
 - *hybrid model:* combining two or more of these models
- online sales can generally be directly correlated with online marketing efforts.
- online merchants can obtain offline purchase data from a data broker, to measure how much revenue is generated by specific banners or e-mail messages
- One way to measure the effectiveness of online marketing: -- ratio of additional revenue received divided by the cost of the campaign (Revenue/Cost).

TABLE 6.9**DIFFERENT PRICING MODELS FOR ONLINE ADVERTISEMENTS**

PRICING MODEL	DESCRIPTION
Barter	Exchange of ad space for something of equal value
Cost per thousand (CPM)	Advertiser pays for impressions in 1,000-unit lots
Cost per click (CPC)	Advertiser pays prenegotiated fee for each click ad received
Cost per lead (CPL)	Advertiser pays only for qualified leads or contacts
Cost per action (CPA)	Advertiser pays only for those users who perform a specific action, such as registering, purchasing, etc.
Hybrid	Two or more of the above models used together
Sponsorship	Term-based; advertiser pays fixed fee for a slot on a website

Note:

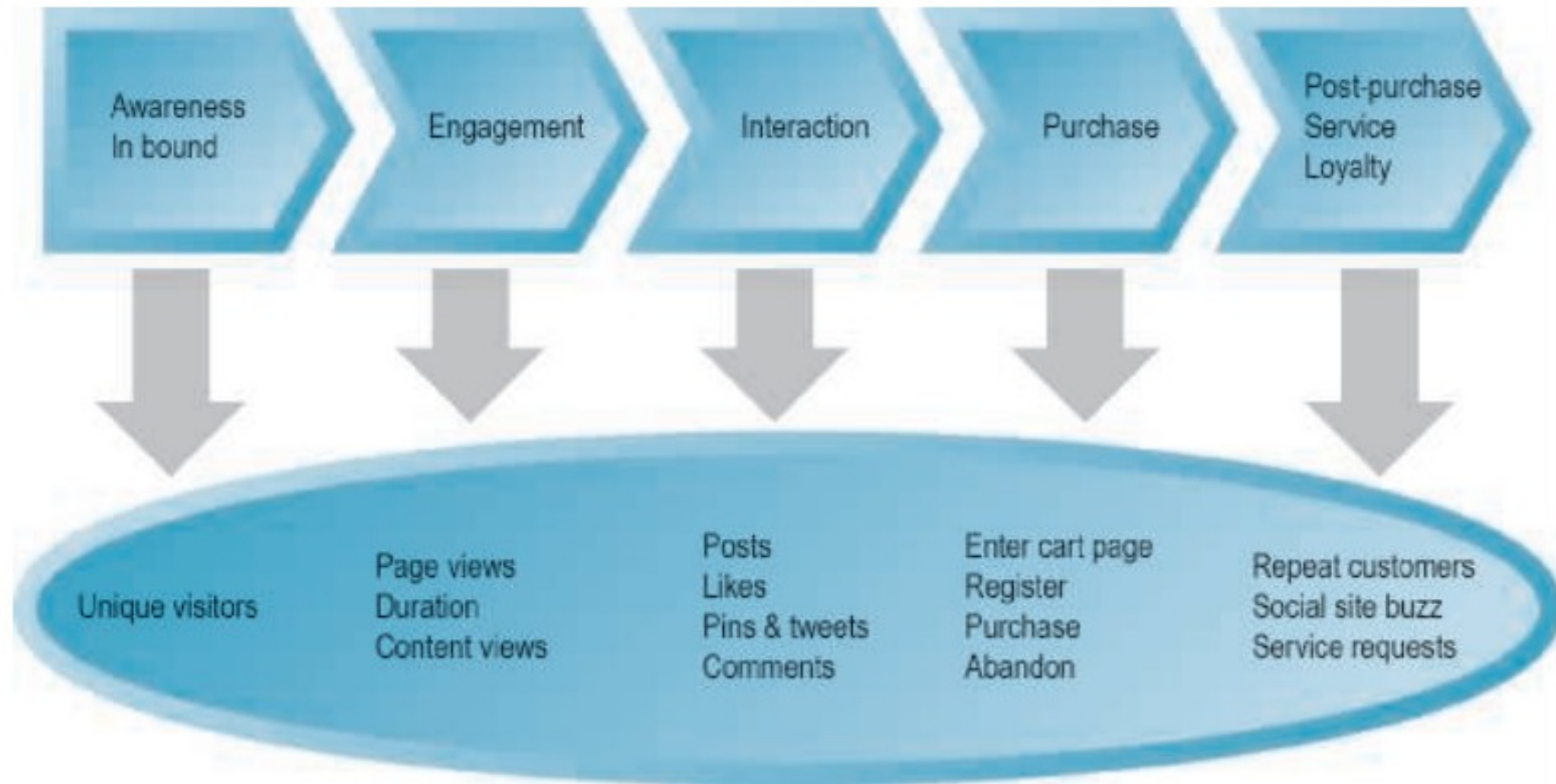
What is lead or lead generation in business?

- to track, reach, and engage with potential customers
- the marketing process of stimulating and capturing interest in a product or service for the purpose of developing a sales pipeline
- allows companies to nurture targets until they're ready to buy
- The **digital marketing** strategy is based on educating the customers with quality content about product or service.
- A **lead** is that client who
 - has already gone through the first stages
 - knows the company well enough to get in touch with the business
 - has shown to have a greater interest in a company's product or service.
- The goal of the marketing is to convert a visitor into a Lead.
- There are many ways to convert from visitors to leads e.g. :
 - Filling up a form in website
 - Download an ebook or any content in website
 - Starting a conversation in inbox, chat or contact page.
 - Call directly.
 - Visit physically.

- measuring the effectiveness of online marketing communications—and specifying precisely the objective (branding versus sales)—is critical to profitability.
- To measure marketing effectiveness, we need to understand the costs of various marketing media and the process of converting online prospects into online customers.
- In general, online marketing communications are
 - more costly on a CPM basis than traditional mass media marketing
 - but more efficient in producing sales.
- e-mail is far less expensive method.
- *Effective cost-per-thousand (eCPM)* is a metric that measures return on investment from an ad by dividing the total earnings from the ad by the total number of impressions in thousands.

MARKETING ANALYTICS: SOFTWARE FOR MEASURING ONLINE MARKETING RESULTS

- The purpose of marketing is to convert shoppers into customers who purchase.
- The process of converting shoppers into customers is often called a “purchasing funnel” that is composed of several stages:
 - Awareness
 - Engagement
 - Interaction
 - Purchase
 - post-purchase service and loyalty

FIGURE 6.12**MARKETING ANALYTICS AND THE ONLINE PURCHASING PROCESS**

Marketing analytics help e-commerce firms to better understand consumer behavior at each stage of the online purchasing process.

- A number of software programs are available to automatically calculate activities at a website or on a mobile device.
- software programs and services assist marketing managers in identifying exactly which marketing initiatives are paying off and which are not.
- Marketing analytics software collects, stores, analyzes, and graphically presents data on each of the stages in the conversion of shoppers to customers

Major functions of analytics software:

- The software can tell business managers how people become aware of their site, and where they come from (e.g., search, self-entered URL, e-mail, social campaigns), along with demographic, behavioral, and geographic information. This information can help managers decide the best ways to drive traffic, the so-called “in-bound” links to a site.
- Analytics packages can record how engaged visitors are with the site’s content, measured in terms of pages viewed and duration on site. This information can allow managers to change the design or their sites, or change the content viewers are seeing.

- analytics packages can track visitor interaction and help managers decide what content leads to higher levels of visitor interaction with friends and other visitors.
- The purchase activity on the shopping cart page is a major focus of analytics tools
- marketing analytics can help managers discover customer loyalty and post-purchase behavior.
 - In an increasingly social marketing environment, marketing managers need to know how their products and services are being talked about on other sites, Facebook pages, or Twitter tweets, often called “buzz” or sentiment analysis. Are the comments positive or negative? What is the source of negative comments? Possible candidates are poor quality, high costs, poor warranty service, and shipping issues
- help business managers optimize the return on investment on their marketing efforts, and to do this by building a detailed understanding of how their consumers behave.
- Marketing analytics also allows managers to measure the impact of specific marketing campaigns involving, say, discounts, loyalty points, and special offers, as well as regional, or demographic based campaigns.
- enhancing management decision making, and optimizing the effectiveness of building an e-commerce presence,.

- Leading products: Google Analytics, Adobe Analytics, IBM Digital Analytics, and Webtrends.
- Marketing analytics software is often part of a comprehensive package sold to corporations from hardware, to web design tools, cloud services, and management expertise

Case Studies

- 1. Facebook marketing tools**
- 2. Twitter**
- 3. Pinterest**
- 4. Location-based marketing tools: Google AdSense**

1. Facebook marketing tools

- Most popular social media/social networking company
- Basic facebook features: see text book
- Facebook offers a number of marketing and advertising opportunities and tools for branding and developing community on its site.
 - Reactions Buttons
 - The Reactions and Share buttons on Facebook are important element for social marketing.
 - E.g. “Like” , Love, laughter (Haha), surprise (Wow), sadness, anger etc
 - Unlike traditional online advertising, the Reactions buttons give users a chance to share their feelings about content and other objects they are viewing and websites they are visiting.
 - The Reactions buttons are available on virtually all Facebook content, including status updates, photos, comments, brands, timelines, apps, and even ads.
 - The ubiquitous Like button also appears on external sites, mobile and social apps, and ads. These sites are utilizing Facebook’s Like social plug-in, and when we Like something outside of Facebook, it appears on our Timeline.

➤ Brand Pages

- brand pages are means for firms to establish a direct relationship with their current and potential customers.
- Nearly all Fortune 1000 companies, and hundreds of thousands of smaller firms, have Facebook brand pages, similar to brand websites, on Facebook as an adjunct to their main website.
- The purpose of a brand page is to develop fans of the brand by providing users opportunities to interact with the brand through comments, contests, and offerings.
- In 2015, Facebook began offering a new Shops tab for Facebook brand pages that features products and services.
- Brands can get exposure on Facebook either organically or via paid advertisements.

➤ News Feed Page Post Ads

- News feed is the most prominent place for advertisements.
- The News Feed is the center of the action for Facebook users and where users spend most of their time
- Page Post Ads appear in a user's News Feed
- Page Post Ads have a tiny tag that indicates that they are sponsored (i.e., are advertisements) but otherwise look very similar to posts from friends.
- They can be used for many of the marketing objectives

➤ Right-Hand Column Sidebar Ads

- These display ads are located in the right-hand column or sidebar of Facebook pages.
- They are often used to direct/divert users to non-Facebook content such as website pages and content offers.

➤ Facebook Live

- Facebook introduced Facebook Live, its free video streaming service, in April 2016.
- Facebook Live can be used to stream live content that followers can interact with by commenting, liking and sharing.
- The video can be saved on a brand's page and followers can continue to interact with it.

➤ Video Ads

- In March 2014, Facebook began showing 15-second video autoplay ads.
- In July 2014, it acquired Live Rail, an advertising network that now acts as the ad server for Facebook's video ads.
- Since that time, Facebook video ads have become an increasingly important part of Facebook advertising strategy.
- In order to continue to grow its advertising revenue without overloading and turning off users by having too many ads, Facebook intends to focus on video ads, which generate more revenue.

➤ Mobile Ads

- Facebook introduced Facebook for Mobile in 2006.
- It now has over 1 billion daily monthly active users.
- over 80% of Facebook ad revenue comes from its mobile ad platform, and it is its fastest growing revenue stream.
- all mobile ads need to be displayed in the users' News Feed because of small screen.
- Mobile ads can include many of the ad formats including video ad.

➤ Facebook Messenger

- In April 2016, Facebook began allowing companies to deploy chatbots on Messenger, Facebook's instant messaging app, to provide automated customer support and other e-commerce services, and also began a trial of Sponsored Messages that would allow companies to send messages to customers who had previously engaged with them.
- In September 2016, Facebook announced a trial of a Buy button for its Messenger app that enables customers to make payments via Stripe or Paypal to companies advertising on Messenger without having to leave Messenger.

➤ Facebook Exchange (FBX).

- Facebook Exchange (FBX) is a real-time bidding system that allows advertisers to target their ads based on personal information provided by Facebook.
- FBX competes with Google's display ad system DoubleClick and other real-time exchanges.
- Visitors to third-party websites are marked with a cookie, and can then be shown ads related to their web browsing when they return to Facebook.

Starting a Facebook Marketing Campaign

- Prior to starting a Facebook marketing campaign, there are some basic strategy questions we need to address.
 - How could our business benefit from a social marketing ?
 - Who is our audience?
 - How can we reach them?
 - How have real-world social networks been used in the past to support sales in our industry?
 - Can we be a “thought leader”?
 - Once you have identified your audience, what content will get them excited and interested?
 - What will it cost and what impact do you expect it to have on your brand and sales?

- A typical marketing campaign for Facebook might include the following elements:
 - Establish a Facebook page with interesting, original content. Acquire fans.
 - Use comment and feedback tools to develop fan comments. Make visitors to engage with content.
 - Develop a community of users. Try to encourage fans to talk with one another.
 - Encourage brand involvement through videos and rich media showing products being used by real customers.
 - Use contests and competitions to deepen fan involvement.
 - Develop display ads for use on Facebook. Develop display ads for use in response to social search queries.
 - Liberally display the Like button so fans share the experience with their friends.

Example of using facebook for marketing campaign

- **Lays:** Asked its Facebook followers to submit suggestions for new potato chip flavors, offering a \$1 million prize to the winner. Now an annual event.

See more in book chapter 7.2 (social marketing)